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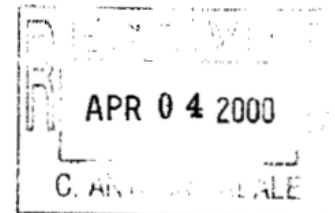
PricewaterhouseCoopers LLP  
1177 Avenue of the Americas  
New York NY 10036  
Telephone (212) 596 8000  
Facsimile (212) 596 8910

→ Betty -  
PIS busy copies to  
Hurry Steele 4/4/00  
Early Reese  
M. Anthony

Invoice No.: 2232-003229-9

March 30, 2000

Martin J. Barrington  
Philip Morris Incorporated  
120 Park Avenue  
New York, NY 10017-5592



**Re: PwC Invoice for Services Related to the Tobacco Litigation Master  
Settlement Agreement - February 1, 2000 through February 29, 2000**

Dear Mr. Barrington:

Enclosed please find our progress invoice for professional services rendered during the February 1, 2000 through February 29, 2000 timeframe, relating to the Tobacco Litigation Master Settlement Agreement ("MSA"). This invoice, which covers all services provided by PricewaterhouseCoopers ("PwC") in our capacity as Independent Auditor and Tax Consultant for the MSA escrow funds, is issued pursuant to our interim engagement letter dated May 17, 1999.

During this timeframe, our efforts have included:

- Preparing Preliminary Calculations for the Subsection VI(b) Account and Subsection VI(c) Account (Subsequent) payments;
- Collecting information for the Subsection VI(b) Account, Subsection VI(c) Account (Subsequent) and Subsection IX(c)(1) Account payments;
- Calculating the 1999 Federal estimated tax payments for the MSA Escrow Fund.

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**Professional Fees Detail**

Invoice No.: 2232-003229-9

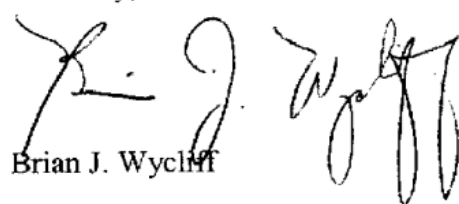
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The invoice represents \$90,575.00 in professional fees, \$1,980.64 in out-of-pocket expenses and shipping fees, totalling \$92,555.64. As previously agreed, the bill has been split between the parties as follows:

| Party Name                                                     | % Share of Payment | Amount Due  | Totals             |
|----------------------------------------------------------------|--------------------|-------------|--------------------|
| States' Antitrust/Consumer Protection Tobacco Enforcement Fund | 50.00%             | \$46,277.82 |                    |
| <b>Total for Settling States</b>                               |                    |             | \$46,277.82        |
| Philip Morris Incorporated                                     | 25.63%             | 23,722.01   |                    |
| R.J. Reynolds Tobacco Co.                                      | 11.98%             | 11,088.16   |                    |
| Brown & Williamson Tobacco Co.                                 | 6.97%              | 6,451.13    |                    |
| Lorillard Tobacco Company                                      | 5.42%              | 5,016.52    |                    |
| <b>Total for Participating Mfg.</b>                            |                    |             | 46,277.82          |
| <b>Total</b>                                                   | <b>100.00%</b>     |             | <b>\$92,555.64</b> |

Should you have any questions or require additional information, please do not hesitate to call me at (212) 597-3380.

Sincerely,



Brian J. Wycherly

Enclosures

cc: Stephen J. Krigbaum

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## **Professional Fees Detail**

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### **Independent Auditor Role:**

- Preparing and sending Preliminary Calculations for the Subsection VI(b) Account and Subsection VI(c) Account (Subsequent) payments due March 31, 2000;
- Collecting and reviewing information provided by Participating Manufacturers and Settling State representatives in response to the December 29, 1999 Information Request for the Subsection VI(b) Account and Subsection VI(c) Account (Subsequent) payments;
- Collecting and reviewing information provided by Participating Manufacturers and Settling State representatives in response to the January 13, 2000 Information Request for the Subsection IX(c)(1) Account payments;
- Preparing and sending the February 16, 2000 Supplemental Information Request for Preliminary Calculations of payments due on March 31, 2000;
- Preparing and sending the Disbursement Notice for the Subsection IX(b) Account (First) and the Subsection IX(b) Account (Subsequent);
- Responding to phone inquiries from Participating Manufacturers and Settling State representatives on a variety of issues including dispute clarification, payment instructions, information request response deadlines, calculation and disbursement timing, etc.;
- Contacting those individual manufacturers that did not furnish all information requested in either the December 29, 1999, January 13, 2000, or February 16, 2000 information request letters;
- Researching required information to calculate the March 31 (Subsection VI(b) Account and Subsection VI(c) Account (Subsequent)) and April 15, 2000 (Subsection IX(c)(1) Account) payments, including research related to 1997, 1998, 1999 CPI, the availability of federal excise tax data and arbitrios de cigarillos data collected by the Puerto Rican taxing authority;
- Reviewing contents of dispute letters received regarding the Subsection VI(c) Account (Subsequent) payment calculations;
- Preparing for the disbursement of funds to Maryland including coordination with Citibank, Salomon Smith Barney and tax personnel, calculating amounts to be disbursed, and preparing letter of disbursement instructions;
- Calculating and preparing notice of the amounts to be disbursed to the State of New Jersey upon notification of New Jersey having reached State Specific Finality;
- Beginning work on the Preliminary Calculation for the Subsection IX(c)(1) Account payments.

| Personnel   | Level   | Hour(s)<br>Billed | Rate   | Amount     |
|-------------|---------|-------------------|--------|------------|
| B. Wycliff  | Partner | 14                | \$ 350 | \$4,900.00 |
| P. Tilton   | Partner | 30                | 350    | 10,500.00  |
| D. Krittman | Manager | 62                | 250    | 15,500.00  |

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